# Econ 335: Topics in Economic Development

Colby College Department of Economics

Fall 2017

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**Office Hours:** M 12-1, 3:30-4; Tu 2-4; Th 10-11; or by appointment (on campus or Skype)

**Class**: Tuesday & Thursday 11:00-12:15 in Diamond 342

## Course Description

An examination of current economic issues faced by developing countries and an introduction to the study of development economics. Topics covered in detail include: the concepts and measurement of economic development; human capital over the life course; gender and household decision-making; microcredit and insurance; environmental quality and development; debates over the effectiveness of foreign aid; and international migration. For each topic, we seek to understand the factors and constraints influencing economic decision-making in developing countries.

**Pre-requisites**

I expect that you have completed and are comfortable with Intermediate Microeconomics EC223 and Research Methods and Statistics EC293 (or the MA381/382 sequence). Econometrics EC393 will also be useful but is not required. If you are not comfortable with the prerequisites, please speak to me directly. While we will review some of the key concepts as we proceed, the pace of the course dictates only a small time to review – if you feel particularly rusty, please stop by my office.

**Format**

We will examine development economics through a variety of methods, incorporating in-class discussion and analysis with instructor and student-led presentations. I will present some theoretical and technical material for the sake of clarity and thoroughness, but the emphasis of the course is placed on participation and exchange between students. You will be asked to analyze pressing policy questions in presentations, debates, discussions, and written work.

## Goals of the Course

- Gain an in depth understanding about global development issues and the empirical and theoretical tools economists use to investigate them.
- Learn how to read and critically evaluate original research. Be able to develop an understanding of the intuition behind an analytical approach even if you are unfamiliar with the technical details.
- Connect with the world beyond the classroom, see yourself as a global citizen, and confront challenging issues that may be outside of your comfort zone.
- Improve your ability to clearly and concisely articulate your position on an issue in written prose and during in-class discussions.

## Expectations

Understanding what I expect of you and what you can expect from me is essential for a successful course - not only for doing well in terms of your grade, but also for having an engaging and dynamic class experience.

**What I expect from you:**

- I expect you will abide by the Colby Affirmation in all parts of the course - not only on exams. Students found to be in violation will be referred to the Dean.
- Maintain an active engagement in the course. Come to class prepared, pay attention, and respond when called upon. Be engaged outside of class as well; prepare for exams and complete assignments by their due dates.
- Actively participate in the learning process. Help each other to establish a collaborative learning environment. Ask questions when you don't understand something. Come to office hours if you're confused – use the resources you have to put yourself in a position to succeed.

**What you can expect from me:**

- I will come to class prepared, foster an engaging and respectful learning environment, and use class time effectively.
- I will present economics so that it is relevant to your lives, not only a set of abstract concepts. I will work with you to build knowledge and develop a new lens through which to view the world.
- Assess your learning fairly and provide constructive feedback on graded work.
- Be available and approachable. I will be in my office for office hours and work with those who have time conflicts to find meeting times that work for both of us. I will do my best to respond to all emails within 12 hours, but emails sent at 10am before an exam at 11am may not be answered in time to help.

## Grading

The majority of work in the course will be staying on top of the readings and your country project on a daily basis. This is no small task – material is drawn from leading academic journals, and we will cover a substantial amount of material. Your active participation in class discussions is expected, and you are encouraged to speak up with questions. Out of class assignments will complement the course material.

- **Participation:** You are expected to fully participate in all aspects of the class and to have completed the assigned readings each day. You are required to submit **2** discussion questions related to the readings **by 10:00am on the day of class**.

- **Quizzes:** We will have occasional, low-stakes quizzes at the beginning of class that will help make sure we're all staying on track. These will typically consist of one or two questions. Your lowest quiz grade will be dropped. Should you miss a quiz, the missed quiz will count as a 0. These are not busy work, but are meant to provide examples of the type of questions that will appear on the exam and an opportunity to exhibit that you digested the material.

- **Exams:** There are two exams – one **October 12th,** and the second on our final exam day.

- **Country Project:** You will select a developing country of your choice to follow throughout the semester. Through academic sources and news article, you will track the issues in class as they pertain to your country. Further instructions will follow throughout the term, but the major components are:

    - **Data Assignments:** These short assignments consist of accessing, summarizing, and presenting key economic indicators related to the weekly topic. Often includes data visualization.

    - **Policy Notes:** You will produce occasional short (1-2 page) briefs on issues we discuss in class. These short writing assignments are a chance for you to practice producing concise, clear prose and help guide your participation during class discussions.

    - **Final Posters/Brief:** At the end of the term you will write a final brief and create a presentation poster on how one specific development area is impacting life in your country. These will be shared with the class in a poster session on the final day of class.

- Your final grade will be determined according to the following weights:
    Participation: 15%
    Midterm Exam: 20%
    Quizzes: 10%
    Data Assignments (6 graded): 9%
    Policy Notes (3): 9%
    Country Poster: 6%
    Final Brief: 6%
    Final Exam: 25%

- *A Note on Re-grade Requests:* You may resubmit any graded work with an additional sheet attached explaining in a few words why you deserve a better grade. These are due one week after the graded work is returned. If you choose to petition for a change to your grade, I will re-grade the **entire** work – not only the part in question. Remember, you are assessed on what is actually written on your paper, not what you meant to write

## Texts and Readings

**Required:** Abhijit Banerjee and Esther Duflo. *Poor Economics: A Radical Rethinking of the Way to Fight Global Poverty*. 2012.

*Poor Economics* is a non-technical book that covers a wide array of current literature in Development. It complements the journal articles we will study more in depth.

There is no textbook for this course. Those students interested in learning more about the theory I will present in class are encouraged to look at *Development Economics* by Debraj Ray.

The majority of course readings are drawn from leading academic journals. They are selected to be accessible to the level of this course. In cases where they are not, I will specify sections that you may omit. Even if the technical nuances are unclear, you should work to understand the intuition behind the arguments and empirical approaches in each paper.

## Course Outline *(tentative and subject to change)*

**Week 1: Big Questions in Development and How We Answer Them (Sep 7)**

*What is Development and who is being developed? Why is development an important subfield? What tools do economists use to answer questions in development? What sets development apart?*

**Thursday Reading**

Banerjee, Abhijit and Esther Duflo, "Economic Lives of the Poor," *Journal of Economic Perspectives,* 2007*,* 21(1).

**Week 2: Macro to the Micro and the 2015 Nobel Prize in Economics (Sep 12-14)**

*How does growth inform the microeconomics of development? Why have we moved on from the Aid Debate? What are the dynamics of a poverty trap? Why is the existence of poverty traps relevant for policy?*

**Tuesday Readings**

Consumption, Great and Small," Nobel Prize in Economics 2015: Angus Deaton.

"Angus Deaton: Consumption, Poverty, and Welfare," Sections 3-5. Scientific Background on the Prize in Economic Sciences in Memory of Alfred Nobel, 2015.

**Thursday Reading**

Ch. 1 Poor Economics

**Week 3: Fertility and Income (Sep 19-21)**

*What is the relationship between population growth and development? What role does access to contraception play in fertility choices? What factors influence fertility decisions? What is a RCT?*

**Tuesday Reading**

Ch. 5 Poor Economics

**Thursday Reading**

Dupas, Pascaline, "Do Teenagers Respond to HIV Risk Information? Evidence from a Field Experiment in Kenya," *American Economic Journal: Applied Economics*, 2011, 3(1).

**Week 4: Fetal and Early Life Health (Sep 26-28)**

*How does health early in life influence later-life outcomes? Do early-life conditions have a persistent effect? Are they different for boys and girls? Are there cost-effective ways to greatly improve maternal and child health?*

**Tuesday Reading**

Ch. 2 Poor Economics

**Thursday Readings**

Hoddinott, J., J.A. Maluccio, J.R. Behrman, R. Flores, and R. Martorell, "Effect of a nutrition intervention during early childhood on economic productivity in Guatemalan adults," *The Lancet*, 2008, 371 (9610), 411–416.

Heckman, James, "Invest in early childhood development: Reduce deficits, strengthen the economy," Heckman Equation Policy Note, 2012.

Almond, D., "Is the 1918 Influenza Pandemic Over?," *Journal of Political Economy*, 2006, 144, 672–712.

**Week 5: Education (Oct 3-5)**

*What role does education play in development? How should we evaluate education programs? How has education policy changed the landscape of developing countries? Is increasing enrollment the right goal?*

**Tuesday Readings**

Ch. 4 Poor Economics

Jensen, R. "The Perceived Returns to Education and the Demand for Schooling," *Quarterly Journal of Economics*, 2010, 125 (2).

**Thursday Readings**

Miguel, Edward and Michael Kremer, "Worms: Identifying Impacts on Education and Health in the Presence of Treatment Externalities," *Econometrica*, 2004, 72 (1), 159–217.

Baird, Sarah, Joan Hamory Hicks, Michael Kremer, and Edward Miguel, "Worms at Work: Long-run Impacts of Child Health Gains," *Quarterly Journal of Economics*, 2016, Forthcoming.

**Week 5.3: Film: Living on One Dollar (2013) (Oct 5th – 7-8:30pm)**

*Note: Required to help balance end of Nov. class cancelation*

**Week 6: Recap/Exam-Prep (Oct 10)**

**Exam #1 (Oct 12)**

**Week 7: Gender and Resources within the Family (Oct 19)**

*What is the role of the family in developing countries? Does it matter who makes decisions within the family? How do families share risk and resources?*

**Thursday Readings**

Ashraf, Nava, Erica Field, and Jean Lee, "Household Bargaining and Excess Fertility: An Experimental Study in Zambia," *American Economic Review,* 2014, 104(7).

**Week 8: Environment and Development (Oct 24, Oct 27)**

**Note: No Th class Oct 26th, Prof. Julia Berazneva's Friday seminar is required (Friday Oct 27th – 3-4:15pm)**

*What is the state of environmental quality in the developing world? What is the relationship between environmental quality, health, and productivity? Why is the marginal willingness to pay for improved quality far below the estimated benefits?*

**Tuesday Readings**

Greenstone, Michael and B. Kelsey Jack, "Envirodevonomics: A Research Agenda for an Emerging Field," *Journal of Economic Literature,* 2015, 53(1).

LaFave, D., S. Dissanyake, et al., "Health Outcomes from Improved Cookstove Adoption in Ethiopia," Work in Progress, 2017.

**Week 9: Insurance, Risk, and Household-Firm Finances (Oct 31-Nov 2)**

*What are the barriers to insurance in developing countries? Why hasn't the micro-insurance revolution taken off? How do individuals cope with risk without formal insurance? Is micro-savings any different?*

**Tuesday Readings**

Ch. 6 Poor Economics

Planet Money. Episode 723: The Risk Farmers. 2016.

**Thursday Readings**

Ch. 8 Poor Economics

Cole, Shawn, Xavier Gine, Jeremy Tobacman, Petia Topalova, Rob Townsend, and James Vickery, "Barriers to Household Risk Management: Evidence from India,"*American Economic Journal: Applied Economics*, 2013, 5(1).

**Week 10: Microcredit (Nov 7-9)**

*Why is microcredit needed? What can we hope microcredit can achieve? Is there evidence that it really works? Why is it difficult to tell? How can the system be improved?*

**Tuesday Reading**

Ch. 7 Poor Economics

**Thursday Readings**

Banerjee, Abhijit, Esther Duflo, Rachel Glennerster, and Cynthia Kinnan, "The Miracle of Microfinance? Evidence from a Randomized Evaluation," *American Economic Journal: Applied Economics,* 2015, 7(1).

Yunus, Muhammad, "Sacrificing Microcredit for Megaprofits," *The New York Times*, January 14, 2011.

Optional: Bruck, Connie, "Millions for Millions," *The New Yorker*, October 30, 2006.

**Week 11: Conditional/Unconditional Cash Transfers (Nov 14-16)**

*What is a CCT and why are they so popular? Do we know that Progressa really worked? Why not just a CT? How do we measure their effectiveness? What are the challenges in studying the long-run effects?*

**Tuesday Readings**

Gertler, Paul. "Do Conditional Cash Transfers Improve Child Health? Evidence from Progressa's control randomized experiment." *American Economic Review*, 2004, 94(2).

This American Life, Episode 503: I Was Just Trying to Help - Money for Nothing. 2013.

**Thursday Readings**

Baird, Sarah, Craig McIntosh, Berk Olzer, "Cash or Condition? Evidence from a Cash Transfer Experiment," *Quarterly Journal of Economics,* 2012.

Goldstein, Jacob, "Is It Nuts to Give to the Poor Without Strings Attached?" *New York Times,* August, 2013.

**Week 12: Microenterprises and Entrepreneurship (Nov 21)**

*What is an entrepreneur? Are the poor inherently clever, or do you have to be clever to survive? Are microenterprises profitable? What works in improving profits?*

**Tuesday Readings**

Ch. 9 Poor Economics

Campos, Francisco, Michael Frese, Markus Goldstein, Leonardo Iacovone, Hillary C. Johnson, David McKenzie, and Mona Mensmann. "Teaching personal initiative beats traditional training in boosting small business in West Africa." *Science*, 2017, 357(6357).

**Week 13.1: NO CLASS Tuesday Nov 28th**

**Week 13.2: Migration, Remittances, and Labor Markets (Nov 30)**

*What causes someone to migrate? Where do they choose to go? What are the challenges to studying international migration? How do we overcome them?*

**Thursday Readings**

Gibson, John and David McKenzie, "Eight Questions about Brain Drain," *Journal of Economic Perspectives*, 2011.

Clemens, Michael, "Economics and Emigration: Trillion-Dollar Bills on the Sidewalk?" *Journal of Economic Perspectives*, 2011.

**Week 14.1: Case Study: Graduating the Ultra Poor (Dec 5)**

*What does it take to lift families out of poverty? How is the BRAC graduation approach different? How is the evaluation different than prior projects? What lessons should we take away for evaluators and policy?*

**Tuesday Readings**

"In Place of a Sweeping Conclusion" - Poor Economics

Banerjee, A., E. Duflo, N. Goldberg, D. Karlan, R. Osei, W. Parrienté, J. Shapiro, B. Thuysbaert, C. Udry, "A multifaceted program causes lasting progress for the very poor: Evidence from six countries," *Science,* 2015, 348 (6236).

Optional

Blattman, Chris, "Why `What Works?' is the wrong question: Evaluating ideas not programs," 2016.

Rosenberg, Tina, "Upward Mobility for the World's Destitute," *New York Times,* May, 2015.

***Week 14.2: Country Poster Day (Dec 7)**

**Review Session - TBD** **Final Exam - 9am December 17th**